Global Economic Weekly

Shaken and stirred

Global Letter: Shaken and stirred

The equity market is selling off in tandem with rising tensions in the Middle East and concerns around the AI trade. The rally in interest rates signals worries that go beyond debt issuance. Underneath the surface, there are rising concerns around firms being able to monetize their investment. To make matters worse, French yields climbed to their highest level since 2002 and are also contributing to the risk-off mood. In the near term, this risk-off cocktail gives some additional cover for the Fed not to surprise markets next week, but the case for further hikes will remain intact unless something breaks.

United States: Sea change or wee change?

We stick with our call that the Fed will raise rates by 25bp in Oct, though we acknowledge it would be a heavy lift given this week's price action. The large beat in Sep inflation bolsters the case for an Oct hike. The Oct decision will be a test of Chair Warsh's resolve to bring "sea change" to the Fed's forward guidance strategy. Warsh's challenge at the presser will be to head off a "policy error" trade. If the Fed hikes, investors might worry about overtightening. If the Fed holds, markets could question the Fed's inflation-fighting credibility.

Euro Area: ECB preview – a delicate balance

ECB looks set to hold next week, likely leaning slightly dovish as tighter financial conditions offset renewed energy-price risks. Communication should retain a hiking bias, but stress uncertainty, data dependence and a measured adjustment in rates. We expect one final hike in December, with some March risk if energy stays high.

UK: Data calls for BoE action, Budget set to be low key

Data this week (jump in inflation vs BoE's forecast, firming up of underlying services pressures and stabilizing labour market) further strengthened the case for a Nov hike. Focus next week would be on the Autumn Budget where we continue to expect a cautious, low-key Budget, with key decisions delayed for later

Asia: Philippines – The challenge of fiscal consolidation

The government aims to reduce the fiscal deficit-to-GDP ratio from 5.6% in 2025 to 3.5% by 2030E. These gains assume a stronger rate of GDP growth of 5-6%, a more benign oil price and inflation backdrop, improved tax revenue with the aid of new taxes.

Emerging EMEA: SSA – Small talks feedback

SSA sentiment remains constructive, buoyed by improving fundamentals and commodities. Investors becoming more selective as election and fiscal risks come into focus in Kenya and Angola.

Latin America: CACs – Oil shock contained

The impact of the higher oil imports bill on external accounts has been limited in CRica, DomRep, and Guatemala. Gold and tourism exports in DomRep, remittances in Guatemala and tourism recovery in Costa Rica have cushioned the impact.

BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this tment decision.

23 October 2026

Economics
Global

Table of Contents

Global Letter	2
US	4
Euro area	7
UK	9
Asia	13
Emerging EMEA	15
Latin America	18
Key forecasts	21
Detailed forecasts	22
Research Analysts	28

Claudio Irigoyen
Global Economist
BofAS
+1 646 855 1734
claudio.irigoyen@bofa.com

Antonio Gabriel
Global Economist
BofAS
+1 646 743 5373
antonio.gabriel@bofa.com

Global Economics Team
BofAS

See Team Page for List of Analysts

Global Letter

Claudio Irigoyen
BofAS

Antonio Gabriel
BofAS

Shaken and stirred

A series of risk-off ingredients has emerged in recent days, pointing to a somewhat different interpretation of the most recent price action. The equity market is selling off in tandem with rising tensions in the Middle East and concerns around the AI trade, reportedly related to the need for further debt issuance to finance the investment boom.

But the common narrative doesn't add up. If concerns were primarily around debt issuance, long-end US rates would be selling off amid fears of increased supply. Instead, long-end rates are rallying and equities selling off, which is more indicative of a market that is increasingly questioning the ability of tech firms to monetize their investments.

To make matters worse, French yields rose to their highest level since 2002 and are also contributing to the risk-off mood. Unfortunately, social unrest does not bode well for fiscal consolidation ahead of the 2027 presidential election. In the near term, these recent developments give some additional cover for the Fed not to surprise markets next week, but the case for further hikes will remain intact unless something breaks.

Middle East tensions keep pressuring energy prices

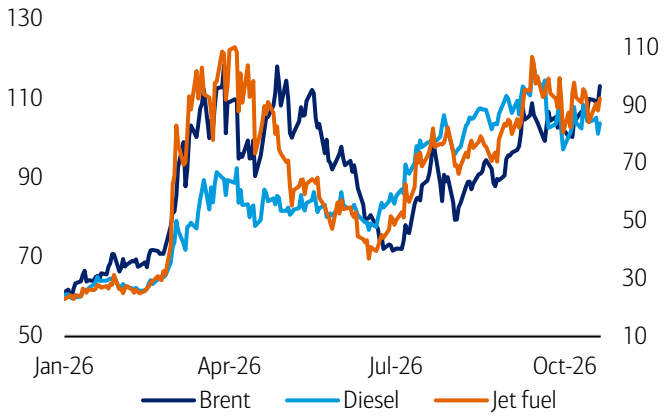
The first risk-off cocktail ingredient remains the Iran war and geopolitical tensions in the Middle East. On the one hand, prospects for reportedly increased military operations following the US midterm elections are keeping crude prices above $110/bbl. On the other hand, rising hostilities increasingly hitting refining capacity continue to take a toll on refined products including diesel (Exhibit 1).

The situation remains fluid and remarkably uncertain, but it remains difficult to see a trigger for de-escalation in the near future. The energy price factor is likely to keep putting pressure on inflation, or at the very least not provide material relief into next year. Sustained disinflation may need to be found somewhere else in the basket.

Underneath the surface, AI concerns go beyond debt issuance

The US equity market is selling off primarily driven by a correction in AI stocks (Exhibit 2). The common narrative is that the market is increasingly concerned about companies' rising needs for further debt issuance to finance the AI investment boom. But something in this narrative doesn't add up.

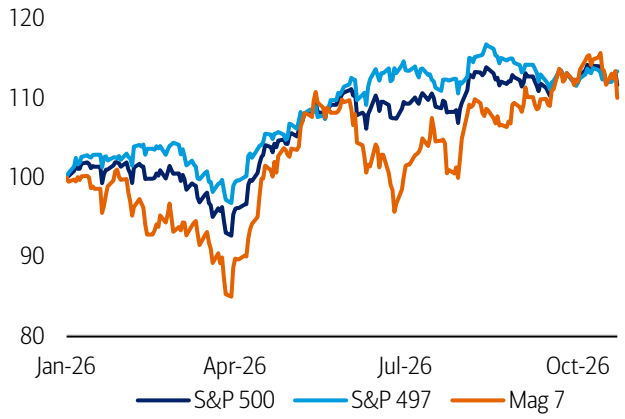
Exhibit 1: Crude and refined products remain under pressure
Brent crude ($/bbl), diesel, and jet fuel prices ($/bbl, rhs)



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 2: The equity market selloff is led by tech stocks
S&P 500, S&P 497, and Mag 7 (Jan 2026=100)



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

Rising debt issuance from tech companies has been one of the main drivers of the rise in real interest rates over the last year or so, in our view. Therefore, if concerns were really about supply, we should see US interest rates climb higher. Instead, 10-year interest rates are back below 5% (Exhibit 3).

It is the "higher interest rates because of high growth" narrative that is being questioned. In our view, market pricing is telling us that concerns are building around profitability and monetization of AI investment. Long-end rates are rallying while equities are selling off are more indicative of a market that is reflecting more growth-related concerns.

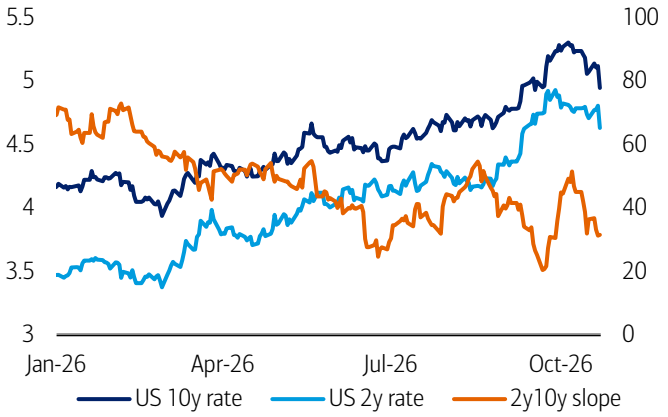
French yields keep rising

To round up the *tour de table*, French yields are also contributing to the risk-off mood. 10-year OAT yields climbed to their highest level since 2002 and stand above US 10-year rates for the first time since the Eurozone crisis (Exhibit 4). Unfortunately, social unrest does not bode well for fiscal consolidation ahead of the 2027 presidential elections. Not that prospects for fiscal consolidation are any brighter in the US, but that *r-g* gap is much worse for France.

Higher bar for October

We have argued since June that the case for hikes is clear considering the solid US outlook and underlying inflation that is stuck above target. At the same time, we have also emphasized that the AI trade breaking is possibly the biggest risk to the US outlook. With just 2bp priced in for next week, the current context may give some additional cover for a Fed that may find it difficult to deliver such a hawkish surprise. But the case for further hikes will remain intact unless something breaks.

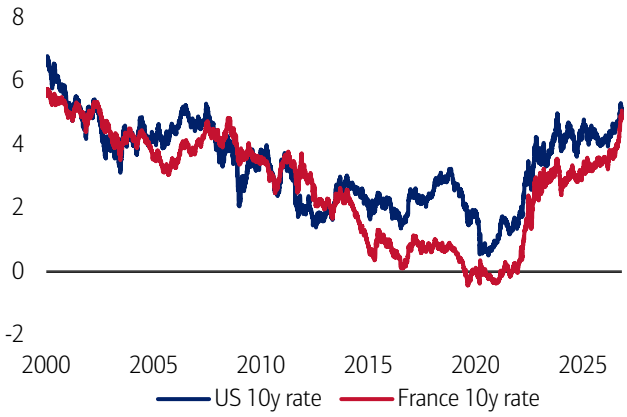
Exhibit 3: But lower rates signal fears are not just about debt issuance
US 2-year and 10-year rates (%) and 2y10y slope (bp, rhs)



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 4: Spiking French yields are adding to the risk-off week
US 10-year and France 10-year interest rates (%)



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

US

Aditya Bhave
BofAS

Sea change or wee change?

- We stick with our call that the Fed will raise rates by 25bp in Oct, though we acknowledge it would be a heavy lift given this week's price action.
- The large beat in Sep inflation bolsters the case for an Oct hike. The Oct decision will be a test of Chair Warsh's resolve to bring "sea change" to the Fed's forward guidance strategy.
- Warsh's challenge at the presser will be to head off a "policy error" trade. If the Fed hikes, investors might worry about overtightening. If the Fed holds, markets could question the Fed's inflation-fighting credibility.

Complete report: US Economic Weekly: Oct FOMC preview: Sea change or wee change? 23 October 2026

A strong normative case to hike

Inflation is too high

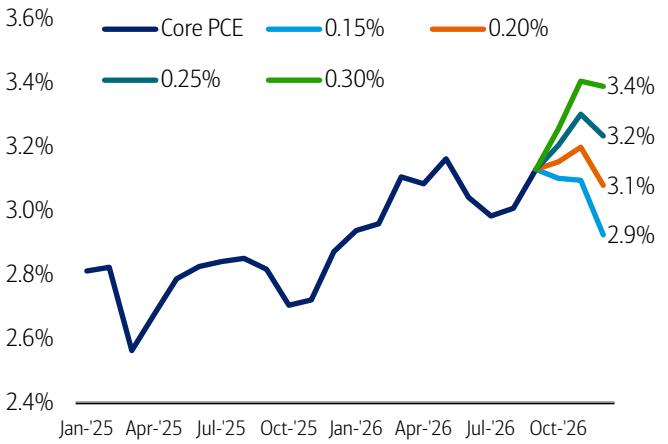
The Fed has a strong case to hike in Oct. The inflation picture has gotten worse on net since the Sep meeting. The beat in Sep inflation was large and broad-based enough to offset last month's bigger-than-expected downward revisions. Core PCE could plausibly end the year at 3.4%, especially since the booming nominal economy increases the risk that the energy shock will get passed through (Exhibit 5).

The long end is no longer doing the Fed's work for it

A few weeks ago some Fed officials argued that the Fed could afford to hike cautiously because the bond market sell-off, particularly the rise in term premium, was doing some of the Fed's tightening work for it. Our retort was that the Fed shouldn't rely on market rates that it doesn't control to do its work. They can move a lot, and quickly.

As of this writing, the 10y yield has nearly fallen back below 5% and term premium is down over 25bp (Exhibit 6). The Fed might now argue that the ongoing bond rally is due to the wobble in risk assets, which is another reason to hike slowly. This is a reasonable

Exhibit 5: Core PCE inflation could plausibly end the year at 3.4% y/y
Core PCE inflation with projections through end-2026, based on a range of outcomes for the Oct-Dec monthly prints (% y/y)



Source: BofA Global Research, Bureau of Economic Analysis. Note: we assume Sep core PCE will come in at 0.35% m/m.

BofA GLOBAL RESEARCH

Exhibit 6: The recent sharp drop in term premium challenges the idea that long-end yields are doing the Fed's work for it
Adrian, Crump and Moench (ACM) 10-year term premium (%)



Source: Federal Reserve Bank of New York, Haver Analytics

BofA GLOBAL RESEARCH

view in isolation. But in the context of the prior Fedspeak calling for caution due to higher bond yields, it would reveal a highly asymmetric reaction function.

A matter of optionality

By staying on hold in Oct, the Fed would retain the option of being one and done, which would only make sense if it concluded that the Sep hike was a policy mistake. By hiking in Oct, the Fed would retain the option of raising rates again in Dec, which would keep the hiking cycle on the same cadence as the cuts in 2024 and 2025. With most of the FOMC already on board with two hikes this year and the inflation data looking more problematic, we think the latter option is more valuable for the Fed.

Who's really in charge?

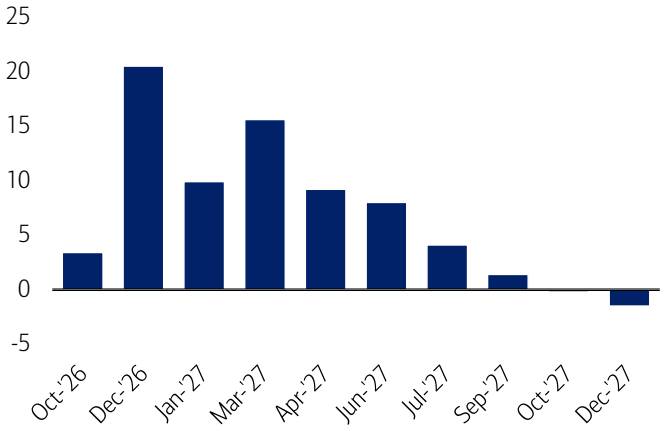
Williams and Jefferson's heavy-handed forward guidance led markets to price out the Oct hike. Recall that they both spoke before the major Sep data were released. There is no way to square their comments with Warsh's stated objection to forward guidance.

Warsh can't muzzle his colleagues, but delivering a hike in Oct would firmly signal to markets that the Fed has exited the business of coordinated messaging. By contrast, if Warsh is willing to neither guide nor surprise markets, he risks losing relevance. Either markets will set the policy path or others on the FOMC will, via their guidance.

Who is Kevin Warsh?

Despite our strong conviction that the Fed *should* hike in Oct, we have only low conviction that it *will*. Markets are pricing about a 10% chance of an Oct hike, and long-end yields aren't questioning the Fed's inflation-fighting credibility (Exhibit 7). In other words, the market is giving the Fed a pass to stay on hold in Oct. Under Powell or Yellen, there would be basically zero chance that the Fed would risk a market disruption by delivering such a large hawkish surprise. That too, just six days before the midterms.

Exhibit 7: Market pricing is roughly consistent with three more Fed hikes, at a quarterly cadence
Fed hike pricing by meeting (bp)



Source: Tullett Prebon, Bloomberg

BofA GLOBAL RESEARCH

In many ways, the decision to hike or hold in Oct boils down to who Chair Warsh really is. He'll have the votes either way. But is he serious about bringing a "sea change" to the Fed? Is he willing to surprise markets in a manner that the Fed hasn't done in a very long while? Would Warsh undermine his Vice Chair and the New York Fed President to close the book on forward guidance? Or is he a more collegial leader?

October statement: no substantive changes

If the Fed hikes, we wouldn't expect any substantive changes to the FOMC statement. If it doesn't hike, the following sentence would need to be omitted or edited: "Today's

policy action will support a timelier return to the Committee's 2 percent goal." The rest of the statement would still work, in our view.

Press conference: choose your adventure

We expect Chair Warsh's Oct press conference to follow a similar template to Sep: only about 30 mins, with no follow-up questions. We have long been of the view that if he doesn't want to make substantive remarks about the outlook, he is better served by saying less. This reduces the risk of unforced errors.

Scenario 1: a hike

In terms of content, we think Warsh will have an easier time at the presser if the Fed hikes than if it doesn't. If the Fed hikes, he will probably emphasize that inflation continues to be too high and broad based, financial conditions aren't sufficiently restrictive, economic activity is robust and the labor market is stable.

The key challenge for Warsh in this scenario would be to not sound too hawkish. The hike alone would most likely cause significant tightening in financial conditions. His goal would be to ensure the move isn't overdone, while still talking tough on inflation.

This would be an easier needle to thread if Warsh were willing to give forward guidance. For example, he could use the term "midcycle adjustment" to signal to markets that the Fed probably won't hike by more than 75-100bp in total. But if Warsh continues to emphasize a meeting-by-meeting approach with no guidance, there is a risk that markets could price a policy mistake due to over-tightening. This could cause a large correction in risk assets, with twist-flattening of the yield curve.

Scenario 2: a hold

Warsh will have to guard against a different policy-mistake trade, one that questions Fed credibility, if the Fed doesn't hike. We think he would be asked how staying on hold after the strong September inflation data is consistent with his prior comment that "inflation is a choice". Warsh will probably say that he's focused on trends rather than individual data points.

But this is a difficult case to make without sounding complacent on inflation, given that those same trends (which have now been revised down a bit) led the Fed to hike in Sep. Especially if Warsh isn't willing to lock in a Dec increase by guiding the markets toward a quarterly pace of hikes. The risk here is that we get a repeat of the price action at the July presser: twist steepening of the yield curve, a weaker dollar and a moderate selloff in risk assets.

Warsh will also probably get asked whether he endorsed Williams and Jefferson's forward guidance. He will almost certainly say that his colleagues on the FOMC are free to express their opinions, but that they aren't representing his views. This would still raise the question of what Warsh's role is as Fed Chair if his colleagues are the ones moving the needle on market pricing. We doubt he will be asked this question so explicitly, but it's exactly why we think Warsh would be in a better position if he can pull off a hike.

Don't miss the forest for the trees

Stepping back, our outlook wouldn't change materially if the Fed stays on hold next week. We'd still expect two more hikes, in Dec '26 and Mar '27. Risks would be skewed slightly more toward additional increases (Jun '27 and perhaps Sep '27) if y/y inflation remains sticky in 1H '27 despite favorable base effects. The bottom line is that the Fed has started hiking rates and probably has more work to do because inflation is too high.

Euro area

Ruben Segura-Cayuela
BofA Europe (Madrid)

Evelyn Herrmann
BofASE (France)

ECB preview: a delicate balance

- The ECB looks likely to hold next week, potentially leaning slightly dovish as tighter financial conditions offset renewed energy-price risks.
- Communication should retain a hiking bias but stress uncertainty, data dependence and a measured adjustment in rates.
- We expect one final hike in December, with some March risk if energy prices stay high; our conviction remains cuts in late-2027E.

Avoiding September

We expect the ECB to leave policy rates unchanged next week. With no major surprises in data (both inflation and soft data a bit weaker), the news since the September meeting has been largely dominated by two developments. Energy prices have surprised the ECB baseline to the upside. Also, financial conditions have tightened and, if sustained, could break something. We think the ECB will try to avoid a repeat of the aftermath of the September meeting and is likely to lean marginally dovish. Given the evolution of markets over the past few days, sounding hawkish would risk triggering further de-anchoring of the front-end and/or spreads, with the risk that something breaks.

While overall written communication is likely to remain unchanged, we expect some of the recent ECB commentary, in particular from President Lagarde, to feature prominently in the press conference. This includes the emphasis that rates do not need to react one-for-one with energy prices, that financial conditions have tightened significantly, and that we are still in a measured-adjustment scenario.

Beyond that, communication will need to keep an implicit hiking bias given the more persistent shock and the fact that September forecasts were consistent with a bit more action from the ECB. At the same time, the emphasis will remain on heightened uncertainty, data-dependence, no pre-committing, and the need to decide meeting by meeting.

Finally, Lagarde will need to somehow address the elephant in the room: long-term rates and spreads. We think it's too early for any action but we would not be surprised to see some soft form of verbal intervention already. That could come in the form of a reminder that the ECB has tools to address deviations from fundamentals. It could also involve a suggestion that QT could be temporarily paused if market conditions were to remain volatile and disorderly for a while.

As a reminder, we expect one final hike in December. A hold is not unthinkable, in our view, if activity data deteriorates more than expected. There is still also a risk of a last hike in March if energy prices continue to surprise on the upside. Still, even at today's energy prices, we think the likelihood of the ECB hiking at most once more is greater than the possibility of it making larger adjustments. Our bigger conviction remains that cuts will follow in late 2027E.

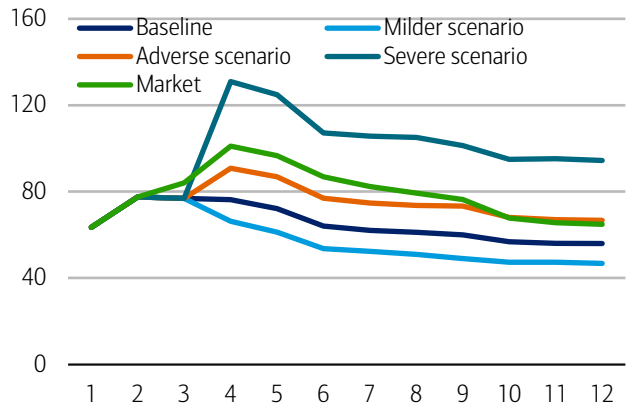
It's all about oil and financial conditions

The main news since September has come from external assumptions. True, inflation was marginally weaker than the ECB expected (despite higher energy prices than it assumed) and that provides some room to lean marginally dovish. But energy prices have moved significantly away from the ECB's base case (Exhibit 8) and long-term rates, after a brief respite, are returning to recent (painful) highs. Overall, with two opposing forces

and inflation not surprising to the upside, we think the ECB can afford to wait until December, with a new set of forecasts, to decide whether to adjust policy rates higher.

Additionally, that leaves room for Lagarde to repeat that we are in a "measured-adjustment" scenario. As long as energy prices normalise, in expectation, well before the severe scenario would suggest, we would interpret this as "measured adjustment" consistent with a short hiking cycle. For us, that means a total of 75bp with some residual risk of 100bp, but no more.

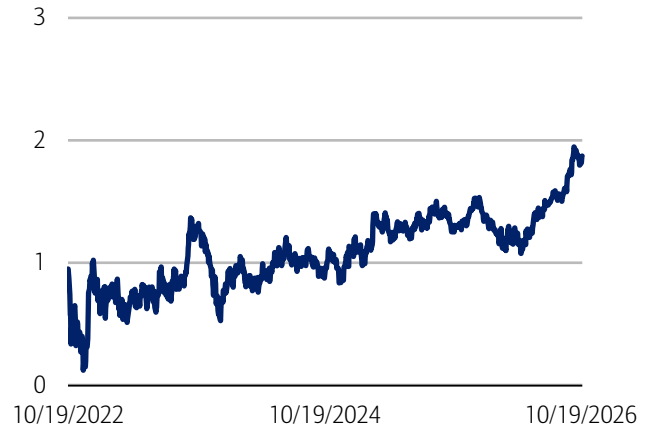
Exhibit 8: Energy prices have moved significantly away from the ECB's base case
ECB energy price scenarios vs current market pricing



Source: ECB, Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 9: 10y real yields continue to trend higher
OIS spot real yield, 10y (%)



Source: ECB, Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

This is particularly so given the tightening in financial conditions (Exhibit 9). And it goes beyond French spreads, the move in long-term rates represents a major headwind to the economy, as shown by recent presentations from ECB speakers. In line with recent comments from Lagarde, we would expect a significant focus on this during the press conference. Three messages are likely to feature strongly. First, that policy rates do not move mechanically with energy prices since they also have an impact on growth, an attempt to break that correlation in the market. Second, that there has been a material (upgraded from notable by now) rise in long-term rates that will have an impact on forecasts. And third, a reference to Lagarde's watchers' speech, that we remain in a measured-adjustment scenario.

Is that enough? Room for verbal intervention

Given market moves over the past few days we think the ECB will need to do more if it's to regain some control of the narrative and avoid something breaking down the line. We think pain thresholds have not been hit for actual action to be taken. But we also think that verbal intervention can still help. This could potentially take two forms, not mutually exclusive.

1. First, Lagarde could flag that some of the market moves do not seem fully justified by fundamentals and she could remind us that they have tools to address this type of development.

2. Second, there has been plenty of discussion on whether the ECB will change QT soon. We think the bar for structurally stopping or reducing QT is high. And it is probably too early for a temporary pause. But Lagarde could say that if market conditions remain volatile and somewhat disorderly, the ECB could always pause QT until market conditions normalise.

UK

Sonali Punhani
MLI (UK)

Ruben Segura-Cayuela
BofA Europe (Madrid)

Data calls for BoE action

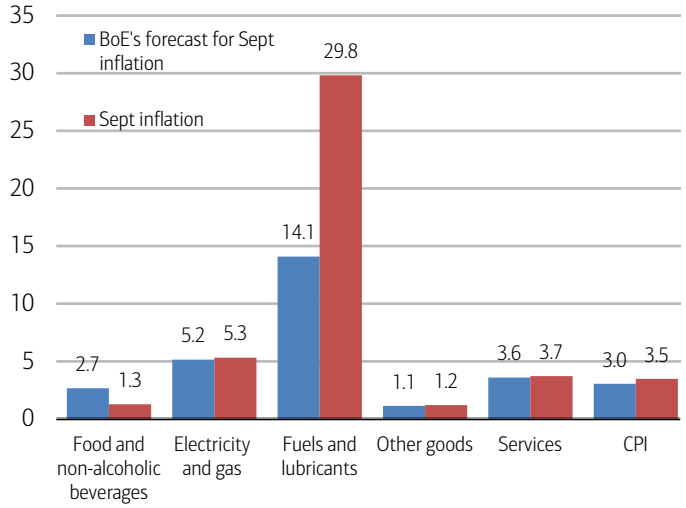
- Data this week (big jump in inflation vs BoE's forecast, firming up of underlying services pressures and stabilizing labour market) further strengthened the case for our call of a Nov hike.
- Along with stronger than expected GDP and rising energy prices, the data calls for action from the BoE.
- Focus next week would be on the Autumn Budget where we continue to expect a cautious, low-key Budget, with key decisions delayed for later.

Inflation and labour market data this week further strengthened the case for our call of a Nov hike. Along with stronger than expected GDP and rising energy prices, the data calls for action from the BoE in the Nov. meeting.

Headline inflation rose from 3.1% to 3.5% (0.53%m/m SA), 10bps above consensus, in line with our expectation and 44bps above the BoE's forecast. Core inflation rose from 2.6% to 2.8% (0.33%m/m SA), in line with consensus and 10bps above the BoE's forecast. Services inflation was up from 3.4% to 3.7% (0.45%m/m SA), 10bps above consensus, in line with our expectation and 13bps above the BoE's forecast.

The pickup in headline inflation was driven by a rise in motor fuel prices which have risen by 5.4%m/m. Energy inflation rose from 13.8% to 17.9%. Food inflation was flat at 1.3% (140bps below the BoE's forecast)- Exhibit 10.

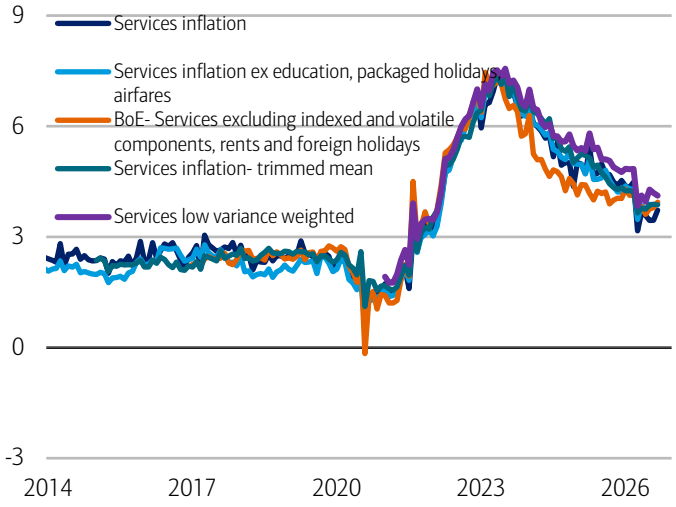
Exhibit 10: Headline higher than BoE's forecast led mainly by energy
Sept inflation vs BoE's forecast (%y/y)



Source: ONS, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 11: Small pickup in underlying services inflation
Services inflation (% y/y)



Source: ONS, BofA Global Research (The low-variance measure is calculated by weighting each component of services inflation by the inverse variance of the change in 12-month inflation of that component from 12 months previously. The maximum adjusted weight is capped at twice its original value as per BoE's methodology)

BofA GLOBAL RESEARCH

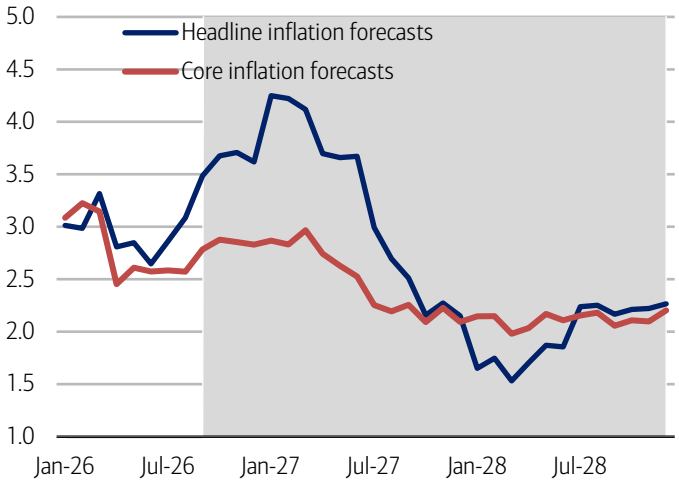
Core inflation rose from 2.6% to 2.8%. Within that, core goods rose from 0.9% to 1.0% driven by a pickup across most categories, especially recreational and AV goods. Services inflation was up from 3.4% to 3.7% with a jump in transport, non-catering recreational and communication/ miscellaneous services. Some of this could reflect the end of the Great British Summer Savings Scheme. Airfares rose from -8% to 3.9% as the monthly

fall in airfares (-19.5%m/m) was lower than typical in Sept., especially European routes. There was a drop in accommodation from 2.7% to 1.4% which tends to be erratic.

Underlying services inflation remains uncomfortably high (Exhibit 11). The disinflation in underlying services inflation has stalled, with a tentative small pickup. Core services inflation ex airlines, packaged holidays, education and accommodation rose from 3.9% to 4.1%, while BoE's measure of core services (excluding volatile, indexed components, rents and foreign holidays) rose from 3.8% to 3.9%. At the same time, low variance weighted services inflation is close to 4%.

We expect headline inflation at 3.2%/3.2%/2.0% in '26/'27/'28. Inflation is expected to pick up further from here, with the peak expected at 4.2% in Feb'27 (Exhibit 12 and Exhibit 13). Core inflation is likely to be at 2.8%/2.5%/2.1% in '26/27/28. In October in particular, the Ofgem price cap is likely to rise by 4% which could push inflation to 3.7%.

Exhibit 12: Headline inflation is expected to pick up further
Headline and core inflation (%y/y)



Source: ONS, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 13: We expect inflation at 3.2%/3.2%/2.0% in '26/'27/'28
Headline and core inflation (%y/y)

	Headline CPI	Core	Core goods	Services	Food	Energy	RPI
	y/y%						
Jul-26	2.9	2.6	0.9	3.4	1.3	9.8	3.2
Aug-26	3.1	2.6	0.9	3.4	1.3	13.8	3.4
Sep-26	3.5	2.8	1.0	3.7	1.3	17.9	3.9
Oct-26	3.7	2.9	1.1	3.8	1.3	19.1	4.3
Nov-26	**3.7**	2.9	1.1	3.8	1.7	18.5	4.6
Dec-26	3.6	2.8	1.2	3.7	2.0	17.4	4.7
Jan-27	4.2	2.9	1.2	3.8	2.1	28.6	5.5
Feb-27	**4.2**	2.8	1.1	3.8	1.9	29.2	5.4
Mar-27	4.1	3.0	1.3	3.8	2.3	24.0	5.2
Apr-27	3.7	2.7	1.2	3.5	2.2	19.5	5.0
May-27	3.7	2.6	1.2	3.4	2.4	20.1	4.9
Jun-27	3.7	2.5	1.2	3.2	2.3	22.2	4.7
Jul-27	3.0	2.3	1.0	2.9	2.1	13.4	4.2
Aug-27	2.7	2.2	0.9	2.9	2.1	9.1	3.8
Sep-27	**2.5**	2.3	1.0	2.9	2.0	5.3	3.4
Oct-27	2.2	2.1	0.9	2.7	2.7	0.4	2.9
Nov-27	2.3	2.2	1.1	2.8	2.8	0.2	3.0
Dec-27	**2.2**	2.1	1.0	2.7	2.5	0.3	2.9

Source: ONS, BofA Global Research

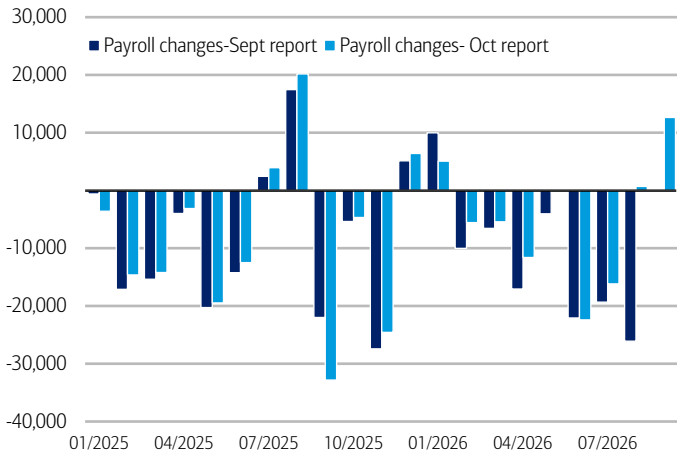
BofA GLOBAL RESEARCH

At the same time, the labour market data was stronger than expected. Unemployment fell from 4.9% to 4.7%, with single month unemployment falling to 4.2%. Employment rose by 102K on a 3m/3m basis, while payrolls rose by 13K in September and also rose by 1K in August (revised from a 26K fall). Overall, payroll revisions imply that payrolls are 41K higher than previously estimated, with job losses over the past year down from 145K to 99K (Exhibit 14). The only dovish part of the report was that vacancies saw their largest fall since the start of the year.

It still means that the labour market is soft but looks to be stabilizing. The signs of stabilization/ improvement seen in survey data is translating into the official numbers (Exhibit 15). This could imply that the labour market is at the cusp of bottoming out. Private regular wage growth rose slightly from 2.9% to 3.0%, with monthly gains in private sector wages softening to 0.13% (below 3m average of 0.38%). On a 3m annualized basis, however private regular wage growth rose from 3.8% to 4.3%.

The upside in inflation vs BoE's forecast, firming up of underlying services inflation and stabilizing labour market further strengthens the case for our call of an insurance hike in November to guard against the risks of second round effects in the midst of elevated energy prices and decent growth. Inflation is set to rise above 4% in early 2027. At the same time stronger growth and labour market data reduces the trade off the BoE faces between growth and inflation and increases the risks that the energy shock translates into broader price pressures.

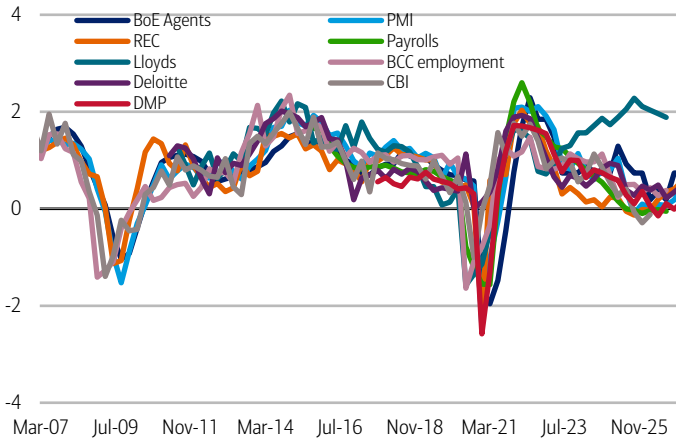
Exhibit 14: Payrolls have been revised upwards
Monthly Payroll changes (Sept vs Oct report)



Source: ONS, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 15: Survey data has been pointing to stabilization/ improvement which is translating into official data
Employment growth (%y/y) translated from different survey indicators using past relationships



Source: ONS, BoE, Markit, REC, Lloyds, BCC, Deloitte, CBI, BofA Global Research

BofA GLOBAL RESEARCH

Having said that spot wage data has not picked up materially, the passthrough of the shock to core inflation looks somewhat contained, though picking up a bit and food inflation is benign. This implies that we view market pricing of close to four hikes as excessive. We continue to expect hikes in November and February to 4.25%.

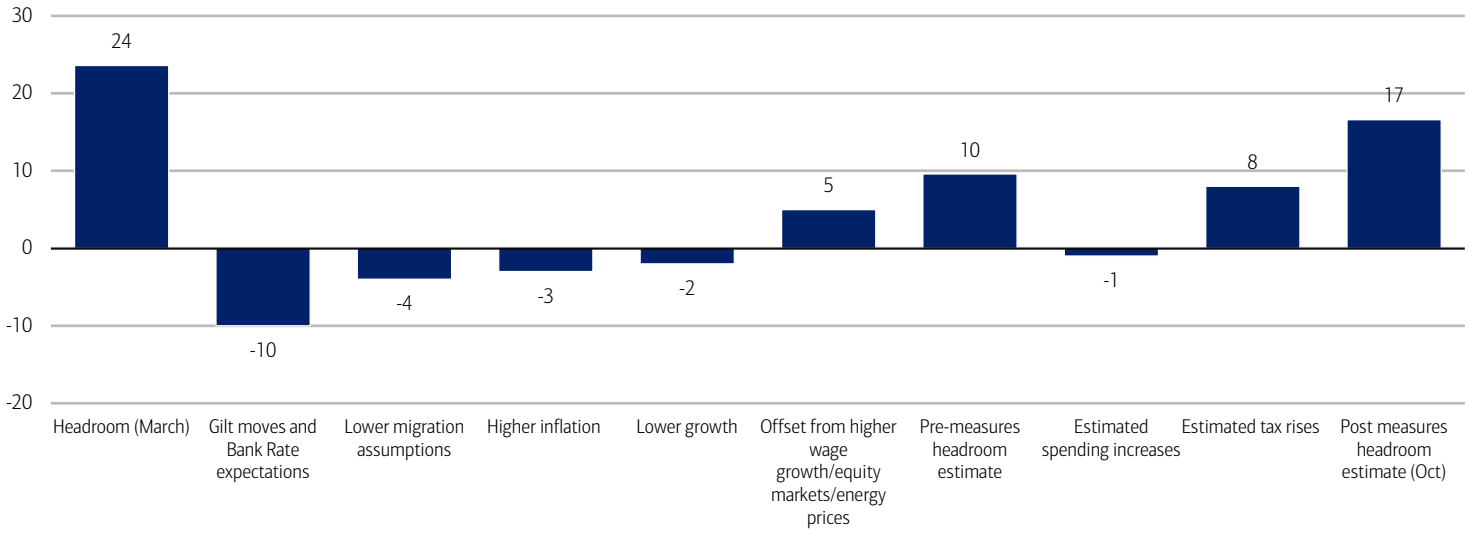
Budget set to be low key

Focus next week would be on the Autumn Budget where we continue to expect a cautious, low-key Budget, with key decisions delayed for later. Our expectations are highlighted in the notes UK Viewpoint: Autumn Budget preview: Caution now, ambition later 06 October 2026) and Liquid Insight: UK Budget - Increased financing need makes WAM shortening imperative 14 October 2026. Overall, there has been little that has materially changed our expectations for the Budget. Key points are:

- We think the government would aim to deliver a cautious Autumn Budget, given the fragile bond market environment.
- We expect fiscal rules to be met and don't expect any carve-outs or exclusions, but we think flexibility could be used to increase spending on investment in a limited manner via public financial institutions.
- Pre-measures headroom is likely to be lowered by ~£14bn to ~£10bn from £23.6bn in March on the back of higher rates, inflation and weaker growth. There are risks that the hit to the headroom is lower, if the OBR revises up earnings growth materially (Exhibit 16).
- We expect limited tax rises worth £8bn (0.3% of GDP) by 2029-30 to partially restore the post-measures headroom to £17bn. Bank corporation tax surcharge increase looks likely, which can raise £2bn. Other measures could include gambling levies, tax efficiencies, broadening of the NICs base and some potential CGT reform (though an increase in CGT rate looks unlikely).
- The Budget will likely contain near-term giveaways to somewhat ease inflationary pressures from energy. These are likely to include one-off payments for low-income households, extensions to VAT cut on electricity bills and fuel duty freeze and potentially further policy costs off energy bills.

- We expect discretionary measures to be expansionary in the near term (worth £5bn of loosening in '26-28) and contractionary later (worth £6bn of tightening in 2029-30). There is a chance that the policy package is actually neutral in the near term, with the energy measures fully funded by tax rises.
- We expect borrowing to rise by £15bn each vs March to £130.5bn (4.1% of GDP) in FY26-27 and to £111.5bn (3.4% of GDP) in FY27-28. Over the next 5 years, borrowing could be £11bn/year higher on average than March.
- We expect the Gross Financing Requirement for the current fiscal year 2026-27 to be topped up by £10bn. We expect the additional £10bn funding requirement to be met through higher net T-bill sales.
- Discretionary measures could raise growth by 5-10bps in 2027, and lower inflation by 20bps in 2027. Though encouraging for the BoE, we think the disinflationary measures are unlikely to be material enough to affect our call of two hikes in Nov. and Feb. unless the measures are larger (though it can lower market pricing of close to four hikes).
- Risks for the market are that 1) the government aims for a small headroom number 2) Potential fiscal consolidation to restore the headroom is completely backloaded 3) the government uses the flexibility within the fiscal rules to increase investment spending by a large amount, raising gilt issuance more than expected. 4) Any carve outs or changes to the fiscal rules.
- The fiscal and political constraints and the need to avoid a large tax raising Budget imply that significant spending ambitions of the new government on defence, social care, unprotected department spending, council house building along with welfare reform are likely to be delayed to later years. The 10-year plan, next year's spending review/ Budget are the next key moments when tough fiscal realities would need to be confronted.

Exhibit 16: We expect pre-measures headroom to be hit by £14bn to ~£10bn. £8bn of tax rises could be announced to reach target headroom of £17bn
Sources of fiscal hole (2029-30)



Source: OBR, BofA Global Research

BofA GLOBAL RESEARCH

Asia

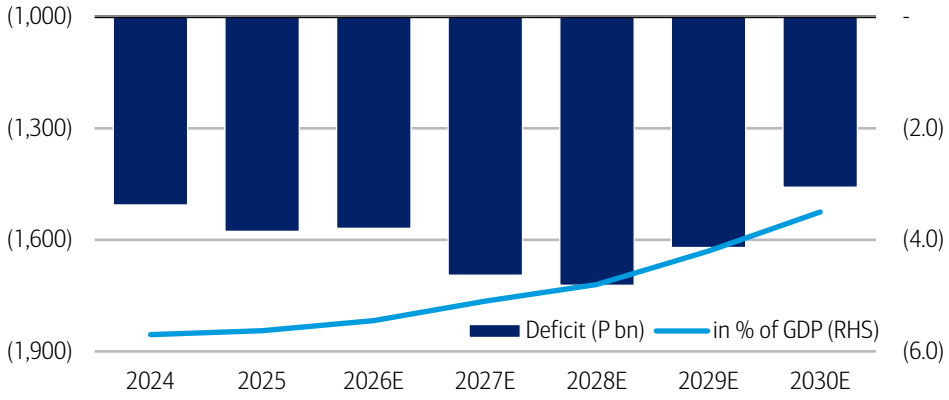
Jojo Gonzales ^^
Philippine Equity Partners

Philippines: The challenge of fiscal consolidation

The government has maintained a commitment to fiscal consolidation though we think the pace of improvement may be slower than currently illustrated. The government had a fiscal deficit in percent of Gross Domestic Product (GDP) of 5.6% in 2025 and this is seen to improve at a quicker rate by 2027E should the government succeed in passing new taxes, increasing the tax effort, and keeping spending growth in mid-single digits – which may be a challenge if economic growth does not recover fast enough.

Central to the medium-term fiscal program of government are GDP growth assumptions of 5-6% from 2027-30E, oil and inflation easing back to more benign levels by 2028E, and a stable peso-dollar rate of P60-62/$ throughout the 2026-30E forecast range.

Exhibit 17: The fiscal consolidation path assumed by government
Government estimates its deficit to peak in 2028E though its ratio to GDP may slowly decline from 2026E



Source: Department of Finance (DoF)

BofA GLOBAL RESEARCH

The proposed 2027 budget, little support from new taxes

In Oct-2026, the House of Representatives transmitted to Senate a 2027 budget that implies 6% growth in spending over 2026. The resulting deficit in 2027E is placed at P1.66trn or 5.4% of GDP, with revenue growth at 8%. Senate is expected to pass the 2027E budget by Dec-2026.

However, there is more work for the legislature than just passing next year's budget, as they need to act on numerous proposals that may have dueling effects on revenue generation. These are mostly contained in the proposed ProGRESS Bill (Promoting Growth, Revenue, and Equity towards Socio Economic Stability). This Bill includes

- Increasing the annual personal income tax exemption ceiling from P250k to P350k. This may provide income tax relief to at least 3mn workers and would be a revenue loss to government, but supportive of consumption.
- Impose a tax on e-cigarettes and vape, and further increase alcohol taxes.
- Impose a tax on the use of plastics, which may be a measure aimed more at reducing plastics pollution than tax revenue generation.
- Exempt micro and small enterprises (MSMEs) from the Minimum Corporate Income Tax (MCIT).

- Impose a higher luxury tax of 25%. This may include an excise tax on luxury vehicles valued over P8mn (US$127k) and a larger tax on luxury items, jewelry, yachts and aircraft. The current luxury tax is 20% plus 12% Value Added Tax (VAT).

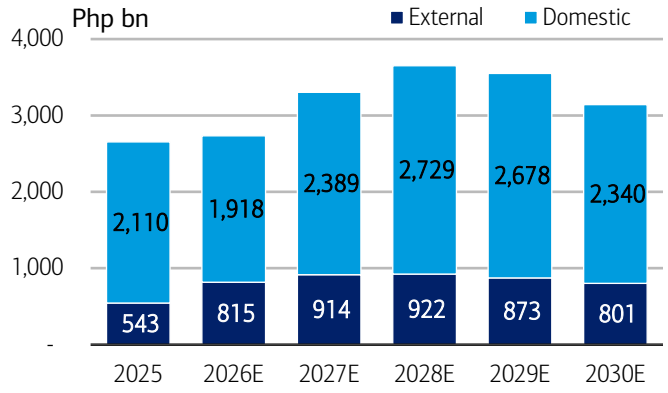
- Apply a 15% Global Minimum Tax on large multinationals.

The government estimates they may raise a net sum of P40-50bn annually if all measures are passed – which may not make much of dent to the estimated 2027E deficit of P1.66trn.

Financing the deficit mostly with domestic borrowing

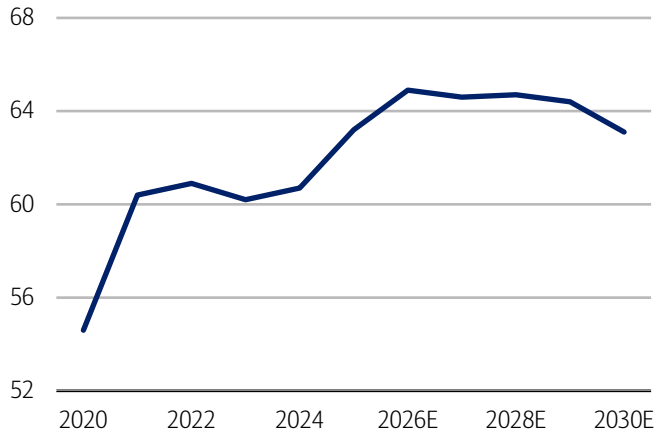
The government expects to maintain its domestic funding bias, which was most pronounced in 2025, when 80% of debt financing was domestic. In 2026-2030E, the domestic component of funding may be closer to 75%. On the foreign funding component, the government indicated an increased use of program loans, as these are longer-term and lower cost than global bonds and project loans.

Exhibit 18: Government deficit funding plan – domestic bias
In 2025, the local/foreign funding mix was 80/20. In 2026E, it is expected to be 70/30 and move closer to 75/25 until 2030E.



Source: Bureau of Treasury (BTr)
Note: the amounts shown are the gross funding requirements, payment payments, amortizations
BofA GLOBAL RESEARCH

Exhibit 19: Debt in percent of GDP (in %) only slowly declines
The government estimates debt-to-GDP to peak in 2026E and slowly recede, though still above 60% by the end of the medium-term plan period

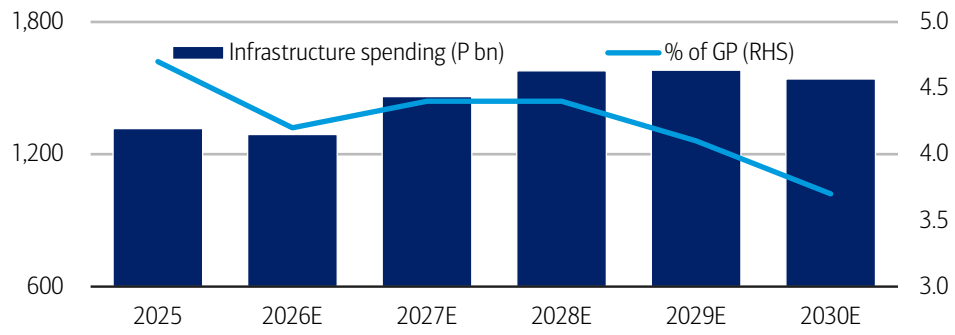


Source: Bureau of Treasury (BTr)
BofA GLOBAL RESEARCH

Infrastructure spending may lag

The commitment to fiscal consolidation may come at the expense of infrastructure spending, especially since infrastructure disbursements tightened after the infra spending scandal of 3Q25. Government estimates place nominal GDP CAGR at 8% p.a. from 2026-30E. During this period, infrastructure spending is seen to grow only 3% CAGR and its share to GDP may fall from 4.7% in 2025 to 3.7% by 2030E.

Exhibit 20: Infrastructure spending is seen to grow at 3% CAGR in 2026-2030E
Infra to lag nominal GDP CAGGR of 8%. Infra in % of GDP seen to ease to 3.7% by 2030E, from 4.7% in 2025



Source: Derived from DoF and BTr data. CAGR = compound annual growth rate
BofA GLOBAL RESEARCH

Emerging EMEA

Loic Porte
MLI (UK)
loic.porte@bofa.com

Tatonga Rusike
MLI (UK)
tatonga.rusike@bofa.com

SSA small talks feedback: strong fundamentals, tougher investor questions

SSA sentiment remains constructive, buoyed by improving fundamentals and commodities. Investors becoming more selective as election and fiscal risks come into focus in Kenya and Angola. Senegal's debt treatment remains a source of uncertainty- perimeter, creditor treatment, CoT and LIC-DSF questions persist.

Complete report: Emerging Insight: SSA small talks feedback: strong fundamentals, tougher investor questions 20 October 2026

Improving fundamentals keep SSA sentiment buoyant

Overall sentiment towards SSA remains positive. Nigeria, Côte d'Ivoire, Ghana, Benin, and Zambia continue to combine improving macroeconomic fundamentals with favorable commodity dynamics. Oil, gold and copper prices remain supportive, while cocoa prices have recovered from the lows seen earlier in the year. In South Africa, the SARB continues to strike a cautious tone amid the risk of renewed fuel-price pressures.

Election cycles complicate fiscal adjustment

Given high oil prices, Angola continues to be given the benefit of the doubt despite weak 1H27 fiscal data and the August 2027 elections, where questions around succession and the post-election policy direction remain unresolved. Kenya's fiscal outlook remains under pressure as meaningful consolidation looks set to be deferred beyond the August 2027 election.

Growing divergence in CEMAC

Across CEMAC, the external outlook is improving, although investor conviction remains highly differentiated by country. Cameroon's fundamentals are relatively solid despite questions surrounding a potential IMF programme and Eurobond issuance. Gabon fiscal outlook and time to secure an IMF programme remains uncertain among investors. The sentiment on the Republic of Congo is positive, and we expect a SLA to be announced before year-end.

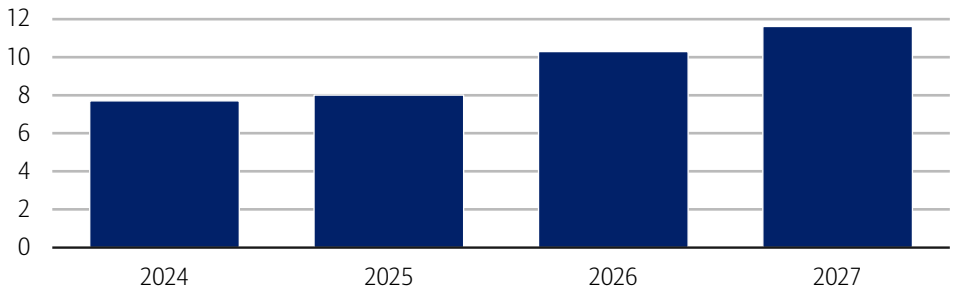
Senegal restructuring: many questions, still few answers

Investors are seeking clarity on the perimeter of the restructuring, including the treatment of plurilateral creditors, preferred creditor status and total-return swaps. Domestic debt is generally expected to remain outside the perimeter. Questions also persist around comparability of treatment, particularly the applicable cut-off and calculation dates, as well as the assumptions underpinning the LIC-DSF, including thresholds, indicators and the expected convergence path.

Nigeria: investor favorite, but watch portfolio risks

The upbeat tone continues among both investors and rating agencies. However, they are looking more closely at the size of the foreign portfolio stock and how it will eventually be unwound. The IMF still sees gross international reserves (GIR) rising into 2027, indicating that the Central Bank could have buffers available to offset the impact on the Naira of portfolio outflows.

Exhibit 21: GIR are expected to rise to 11.6 months of import cover in 2027, up from 8 in 2025
Gross international reserves (months of next year's imports of goods and services, 2024-2027F)



Source: IMF World Economic Outlook October 2026

BofA GLOBAL RESEARCH

September recalibration leaves little room for more easing

At its September meeting, CBN's Monetary Policy Committee (MPC) reduced the Monetary Policy Rate (MPR) by 350bp to 23.0% and narrowed the standing facilities corridor to +50/-300bp from +50/-450bp around the MPR. In our view, the effective easing amounted to roughly 200bp, as the corridor recalibration offset part of the headline rate cut. The cumulative effective easing of 200bp is broadly consistent with our expectation of 200bp of policy easing by year-end, originally envisaged as two 100bp cuts in September and November. As a result, we no longer expect any additional rate cuts at the November MPC meeting.

From our perspective, monetary conditions remain restrictive, with real policy rates still close to 8%, based on the 23.0% policy rate and September inflation of 14.6%. However, this degree of restrictiveness could diminish once the January CPI print is released. We estimate January inflation could rise to between 16% and 18%, depending on food price dynamics. The increase could be more contained if food inflation records a negative month-on-month reading. Any positive monthly food inflation print, however, would likely push headline inflation higher and reduce the current positive real rate buffer.

While the disinflation trend remains firmly intact, average inflation is likely to stay within the 14-15% range through 2027. This argues for continued policy prudence. Moreover, the CBN characterized the September move as a recalibration of the MPR rather than the start of an easing cycle. In our view, this suggests the Committee is unlikely to deliver another cut in November and may instead wait until at least February 2027 before considering further easing. The IMF also maintains a constructive view on Nigeria's disinflation trajectory. Headline CPI inflation is projected at 15.4% in 2026, marginally higher than 15.2% in 2025, before declining to 14.6% in 2027 and gradually converging toward 10% by 2030-31.

Reform continuity remains the base case

We continue to see reform continuity post elections. President Tinubu remains the frontrunner for these elections on 16 January 2027, with opposition fragmentation supporting the likelihood of a second term. Market participants generally expect policy continuity, with the next phase of reforms focused on the power sector, fiscal policy and hydrocarbons. Election risks appear more contained than in previous cycles.

South Africa: fuel shock keeps SARB on alert

The SARB remains concerned that the fuel price shock could generate second-round effects and lead to more persistent inflation pressures. Headline inflation rose from around 3% at the start of 2026 to 5.0% in June before moderating to 4.4% in August. Following the re-escalation of the conflict with Iran, we expect inflation to accelerate again, breaching 5% in October and remaining above that level throughout 1H27 before gradually moderating in 2H27. El Niño presents an additional upside risk that is not incorporated into our baseline forecasts.

The real policy rate remains above the SARB's estimate of the neutral rate, implying that monetary policy is moderately restrictive. The cumulative 50bp of tightening delivered in May and September reflected the MPC's assessment that inflation risks are skewed to the upside and that second-round effects could prove larger than currently projected. Future policy decisions remain data-dependent, and the SARB has also acknowledged the risk of overtightening. We think that SARB could hike should domestic inflation data surprise to the upside and if the Fed were to hike at the October meeting. Conversely, no Fed hike and inflation in line with expectations could mean SARB can wait and continue to monitor developments.

Growth remains subdued. High-frequency indicators point to continued weakness in the third quarter following the 0.2% quarter-on-quarter contraction in the second quarter. Real GDP growth for 2026 is likely to come in around 1.0-1.2%. The medium-term outlook is more encouraging, with higher investment expected to support growth in 2027-28. Potential growth could improve further if structural reform momentum accelerates, although progress remains uneven across sectors.

Senegal: many questions, still few answers

Senegal was at the centre of conversations because of the ongoing restructuring, which is still surrounded by a lot of uncertainty. The first key question was the perimeter of the treatment. This covered the inclusion or exclusion of plurilaterals, with a related conversation on preferred creditor status (PCS), and the treatment of total return swaps (converted to local currency or restructured as external commercial loans). Domestic debt inclusion is expected to be out of scope. Comparability of treatment (CoT) dominated discussions, in particular which calculation and cut-off dates will be used by the Official Creditor Committee to start computing CoT. If the date is set prior to March 2026, there could be inter-bondholder issues regarding the 2028s amortization payment being “deducted” from the PV relief being provided by bondholders as a group.

Discussions also focused on which LIC-DSF framework will be used. The first question concerns the choice of the indicator: the old variables of the LIC-DSF, or old plus new variables (total debt-to-GDP, gross financing needs, and interest-to-revenue ratios)? The second concerns the level of targets: we understand that the “old” thresholds might be used (i.e. 23% instead of 24% for the external debt service-to-revenue ratio for example). The third question is how long the IMF will allow the debt burden indicators to converge below thresholds: immediately post programme, 5 years after programme approval, or 10 years post programme?

No medium-term projections have been released at this stage by the IMF, likely reflecting sensitivities around the restructuring process. The latest available data point shows general government debt at 127.7% of non-rebased GDP in 2025 and an overall fiscal deficit of 6.4% of GDP. The primary deficit is estimated at 1.4% of GDP in 2025.

Latin America

Carlos Capistran
BofAS

CACs: Oil shock contained as tourism, gold and remittances provide support

The impact from the oil imports bill increase on external accounts has been limited in Costa Rica, the Dominican Republic, and Guatemala. Gold exports and tourism in DomRep and tourism recovery in Costa Rica have cushioned the impact. Guatemala's external balance declined by 1pp of GDP in 1H26 but the large remittances inflows still outweighs the trade of goods deficit. FDI inflows fully finance the CA deficit in Costa Rica and DomRep. Guatemala attracts lower FDI inflows but continues to post a current account surplus.

Complete report: Emerging Insight: CACs: Oil shock contained as tourism, gold and remittances provide support 20 October 2026

We expect the CA deficit in DomRep to narrow to 0.5% of GDP in 2026 and remain broadly stable in 2027, supported by gold and tourism exports. In Costa Rica, the CA deficit is projected to widen to 1.0% of GDP by 4Q26 as higher oil imports and weaker manufacturing exports offset tourism gains, while we expect Guatemala's CA surplus to decline to 3.0% of GDP in 2026 due to higher oil prices and slower remittances growth before stabilizing in 2027.

Oil imports bill is pressuring external balances

Oil prices increased 31% so far this year compared to the avg price in 2025. Higher oil prices put pressure on the external accounts of oil-importing countries, the trade of goods balance deteriorates and this translates into weaker CA balances. We examine the impact of the increase in the oil imports bill in Costa Rica, the Dominican Republic and Guatemala and find that the impact has been relative moderate.

Not all countries are affected equal

However, looking at the external account results in 1H26, the CA deficit shrank 1.0pp of GDP in DomRep and widened slightly (0.2pp)in Costa Rica. On the other hand, Guatemala's CA surplus was more affected and narrowed by 1pp of GDP.

Gold and tourism exports offset oil imports in DomRep

In the Dominican Republic, the CA deficit shrank by 1pp to 0.4% of GDP in 2Q26 vs a deficit of 1.4% in 2025. The oil imports bill increased by 0.3pp of GDP in 2Q26 but gold exports increased by 0.4pp of GDP in the same period. Moreover, tourism inflows also increased in the first half of 2026 and helped offset the impact (Exhibit 22).

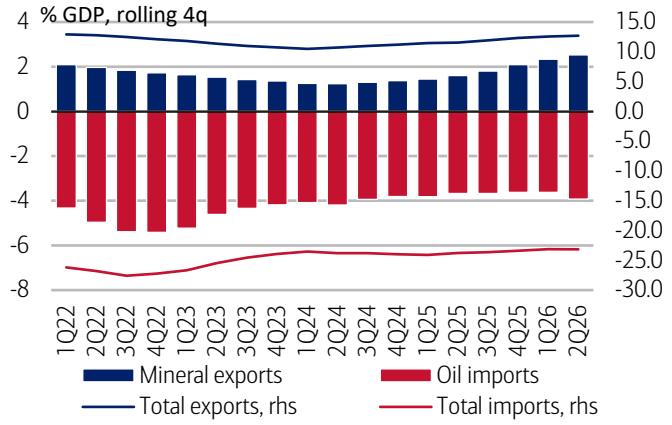
Our Global Commodities team forecast gold prices to average US$/oz 4,813 in 2027, up from the average of US$/oz 4,360 in 2026. Moreover, Pueblo Viejo, , the main gold producer and exporter in DomRep, is already expanding its capacity through a US$ 2.6bn investment that is already underway. Looking at mining, the outlook for activity, exports and external accounts balance is constructive.

Tourism services exports helped to moderate the impact in Costa Rica

In Costa Rica, the CA deficit widened 0.2pp of GDP to 0.7% of GDP in 2Q26, compared with a deficit of 0.5% of GDP in 4Q25. The oil imports bill in Costa Rica reached 2.3% of GDP (vs. 2.1% in 4Q25). Costa Rica's CA has not been supported this year by its main export product, medical devices, which have experiencing some moderation this after the strong growth recorded in 2025 (Exhibit 23). However, Costa Rica has experienced a recovery in the exports of tourism services that has helped alleviate the impact from higher fuel prices.

Another factor that has contributed to moderate the impact from the oil import bill in the CA balance is the moderation of the imports of goods and services (excl oil), which has decelerated amid weak domestic economic activity. Imports of goods and services (excl. oil) rose only 3.8% in 1H26 while they increased by 13.4% in 2025.

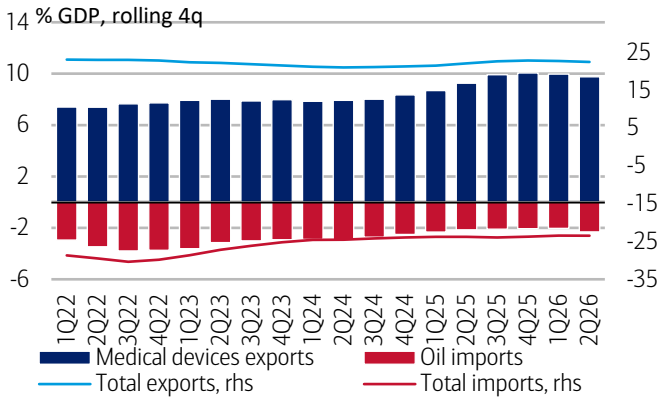
Exhibit 22: Mineral (gold) exports offset the widening of oil Imports
Total exports and imports of goods as % of GDP



Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

Exhibit 23: Exports of medical devices moderated but tourism inflows recovered
Total exports and imports of goods as % of GDP



Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

Guatemala was the most impacted but remittances still offset the goods deficit

Guatemala has been recording a current account surplus since before the pandemic, and it went close to 5% of GDP past year due to record high remittances inflows. The CA surplus in Guatemala deteriorated by 1pp to 3.9% of GDP between the first and second quarter of 2026 as the oil imports bill widened, the remittances inflows moderated and the main export products also lost some steam (i.e. textiles and agro, see Exhibit 25).

Tourism has helped DomRep and CRica but risks are tilted to the downside

Exports of travel services make up an important share of external inflows in the Dominican Republic (9.2% of GDP) and Costa Rica (5.4% of GDP), while their contribution is smaller in Guatemala (1.4% of GDP). The inflows from the exports of travel services in the CA increased 15.2% yoy in 1H26 in DomRep and 8.2% yoy in Costa Rica in the same period (Exhibit 25). The tourism arrivals accelerated this year in both countries despite the increase in airfares. This has served as a cushion from the increase in the oil imports bill in both countries, however, risks are tilted to the downside if higher fuel prices ultimately weigh on travel activity.

Our Global Commodities team currently forecast Brent oil prices to moderate and average US$80/bbl in 2027 from US$ 91 in 2026 but prices are expected to remain high in 4Q26.

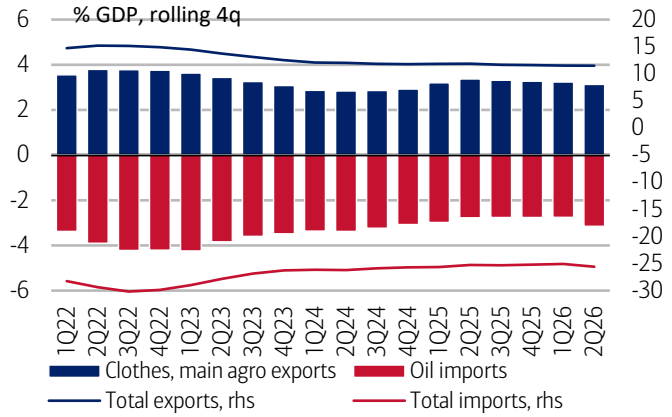
FDI inflows fully finance the CA deficit in CRica and DomRep

Foreign Direct Investment inflows in Costa Rica are among the highest in the LatAm region and have averaged 5.4% of GDP in the past five years. The FDI inflows as a percentage of GDP will be notably high this year, reaching around 8% of GDP due to a one-off transaction in the beverages sector. However, even excluding the beverages company sale, estimated at around US$3.2bn, the manufacturing sector continues to be the main recipient of foreign investment inflows.

The Central Bank of the Dominican Republic stated that the FDI inflows are at record high level for the first two quarters of the year. Inflows have been directed primarily to energy, tourism and mining sectors. The FDI inflows fully finance the CA deficit.

In contrast, Guatemala is among the countries in the LatAm region with historically low FDI inflows. FDI in Guatemala has been stable at 1.5% of GDP. However, unlike Costa Rica and DomRep, Guatemala is running CA surplus due to the large remittances inflows, which represents 21% of GDP.

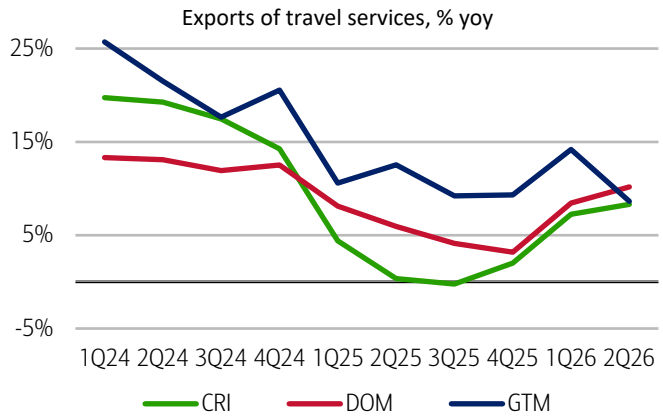
Exhibit 24: Oil imports increased while traditional exports moderate
Total exports and imports of goods as % of GDP



Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

Exhibit 25: Exports of travel services recovered in DomRep and CRica
Exports of travel Services, % yoy



Source: BofA Global Research, Haver

BofA GLOBAL RESEARCH

CA deficit will likely continue to shrink in DomRep, to widen in Costa Rica

We expect the CA deficit to improve slightly in the second half of the year on the back of strong gold and tourism services exports. The CA deficit will likely reach 0.5% of GDP in 2026 and will remain broadly stable in 2027.

In Costa Rica, the CA deficit will likely widen to 1.0% of GDP by 4Q26 , as higher oil imports and weaker manufacturing exports offset the increase in the exports of tourism services. For 2027, we expect the manufacturing exports to recover and support the trade of goods balance (we have highlighted that investment remain strong in the manufacturing sector).

In Guatemala, the higher oil prices and the deceleration remittances growth rate will bring down the CA surplus to 3.0% of GDP in 2026. For next year, the expected moderation in oil prices and the normalization of the remittances inflows will likely keep the CA balance broadly stable.

Key forecasts

Exhibit 26: Economic forecasts
GDP growth, inflation and policy rate forecasts for the major economies

	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026F	2027F	2028F
Global and Regional Aggregates, %											
United States											
Real GDP growth [1]	2.2	3.5	2.3	2.2	2.2	2.1	2.0	2.3	2.4	2.3	1.9
CPI inflation	3.8	3.5	3.8	3.1	2.9	2.3	2.4	2.7	3.5	2.8	2.2
Policy Rate (EoP)	3.63	3.88	4.38	4.38	4.38	4.38	4.38	3.63	4.38	4.38	4.38
Euro area											
Real GDP growth [1]	2.6	0.8	0.7	0.8	1.0	1.2	1.2	1.3	1.0	1.0	1.1
CPI inflation	3.0	3.3	3.5	3.5	2.8	2.1	1.5	2.1	3.0	2.5	1.8
Policy Rate (EoP)	2.25	2.50	2.75	2.75	2.75	2.50	2.25	2.00	2.75	2.25	1.50
China											
Real GDP growth [2]	4.5	4.3	4.3	4.1	4.2	4.2	4.1	5.0	4.5	4.2	4.0
CPI inflation [3]	1.1	0.5	0.6	0.6	0.2	0.9	0.4	0.0	0.8	0.5	0.0
Policy Rate (EoP)	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
Japan											
Real GDP growth [1]	1.4	0.1	0.3	1.1	1.2	0.7	0.6	1.2	0.8	0.8	0.7
CPI inflation	1.5	2.0	2.6	3.3	1.6	1.4	0.6	3.2	1.9	1.7	1.7
Policy Rate (EoP)	1.00	1.25	1.50	1.75	1.75	2.00	2.00	0.75	1.50	2.00	2.00
Global Aggregate [4]											
Real GDP growth								3.5	3.3	3.4	3.3
CPI inflation								2.5	3.1	2.7	2.2
Policy Rate (EoP)								3.74	4.03	3.90	3.67
Emerging Markets Aggregate [4]											
Real GDP growth								4.7	4.5	4.5	4.4
Real GDP growth (ex-China)								4.6	4.5	4.7	4.7
CPI inflation								2.6	3.0	2.5	2.0
Policy Rate (EoP)								4.42	4.44	4.29	4.07

Notes: 1. Quarterly values are % q/q annualized | 2. Quarterly values are % y/y. | 3. Quarterly values are period averages. | 4. Due to reporting limitations, Global and EM aggregate are annual only.
Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 27: Markets forecasts
Forecasts for FX, interest rates, commodities and equities

	spot	4Q26	1Q27	2Q27	3Q27	4Q27	4Q28
Exchange Rates (EoP)							
EUR/USD	1.12	1.15	1.17	1.19	1.20	1.20	1.22
USD/JPY	157	152.00	149.00	148.00	146.00	145.00	145.00
USD/CNY	6.67	6.60	6.60	6.50	6.50	6.50	6.50
GBP/USD	1.34	1.37	1.39	1.42	1.45	1.45	1.47
Interest rates (% EoP)							
US 10yr	4.96	5.00	4.95	4.90	4.85	4.75	4.75
Germany 10-year	3.33	3.40	3.25	3.10	2.90	2.80	2.50
Japan 10yr	2.77	3.00	3.10	3.10	3.15	3.05	2.95
Commodities [1]							
Oil - WTI ($/bbl)	100.1	96.0	84.0	75.0	70.0	67.0	NA
Oil - Brent ($/bbl)	113.7	100.0	89.0	81.0	77.0	74.0	NA
Gold ($/oz)	4043	4000	4750	5000	5000	4500	4000
Equities (EoP)							
S&P 500	7663					7100	
Stoxx 600	638	530				565	

Source: BofA Global Research

BofA GLOBAL RESEARCH

Detailed forecasts

Global economic forecasts

Exhibit 28: Global Economic Forecasts

Global GDP growth expected at 3.3% in 2026, 3.4% in 2027 and 3.3% in 2028

	GDP growth, %				CPI inflation*, %				Short term interest rates**, %			
	2025	2026F	2027F	2028F	2025	2026F	2027F	2028F	Current	2026F	2027F	2028F
Global and regional aggregates												
Global	3.5	3.3	3.4	3.3	2.5	3.1	2.7	2.2	3.86	4.03	3.90	3.67
Global ex US	3.8	3.5	3.6	3.6	2.4	3.0	2.7	2.2	3.85	3.96	3.81	3.53
Global ex China	3.1	3.0	3.1	3.1	3.2	3.8	3.3	2.9	4.58	4.81	4.66	4.36
Developed Markets	1.8	1.6	1.6	1.5	2.6	3.0	2.5	2.0	3.05	3.38	3.28	3.00
Emerging Markets	4.7	4.5	4.5	4.4	2.4	3.1	2.8	2.3	4.39	4.44	4.29	4.07
Emerging Markets ex China	4.6	4.5	4.7	4.7	4.0	4.7	4.3	3.9	6.22	6.30	6.06	5.71
Europe, Middle East and Africa (EMEA)	2.1	1.5	2.1	2.1	4.6	4.2	3.6	2.9	4.63	4.84	4.31	3.60
European Union	1.5	1.2	1.3	1.4	2.5	3.0	2.5	1.9	2.78	3.01	2.56	1.86
Emerging EMEA	3.5	2.2	3.9	3.5	9.7	7.3	5.9	5.2	8.09	8.19	7.29	6.50
Emerging Asia	5.4	5.4	5.1	5.0	0.9	2.1	2.1	1.7	2.86	2.95	3.10	3.04
ASEAN	5.0	5.0	5.0	5.2	1.6	3.3	3.0	2.6	4.04	4.08	4.08	3.62
Latin America	2.4	1.9	2.0	2.3	3.7	4.7	4.1	3.5	8.26	8.14	7.37	7.06
G6												
US	2.3	2.4	2.3	1.9	2.7	3.5	2.8	2.2	3.875	4.375	4.375	4.375
Euro area	1.3	1.0	1.0	1.1	2.1	3.0	2.5	1.8	2.50	2.75	2.25	1.50
Japan	1.2	0.8	0.8	0.7	3.2	1.9	1.7	1.7	1.25	1.50	2.00	2.00
UK	1.3	1.3	1.0	1.4	3.4	3.2	3.2	2.0	3.75	4.00	4.25	3.50
Canada	1.9	1.0	1.6	2.0	2.1	2.8	2.3	2.0	2.25	2.25	2.25	2.75
Australia	2.0	2.0	1.6	2.0	2.9	3.7	2.5	2.5	4.60	4.60	4.10	3.60
Euro area												
Germany	0.3	1.0	1.0	0.9	2.3	2.6	1.9	1.8	2.50	2.75	2.25	1.50
France	0.9	0.3	0.6	1.1	0.9	2.3	1.5	1.5	2.50	2.75	2.25	1.50
Italy	0.7	0.8	0.6	0.8	1.6	2.8	1.7	1.6	2.50	2.75	2.25	1.50
Spain	2.8	2.6	1.6	1.4	2.7	3.5	1.6	1.8	2.50	2.75	2.25	1.50
Netherlands	1.6	1.3	1.2	1.3	3.0	2.8	2.2	1.8	2.50	2.75	2.25	1.50
Belgium	1.0	0.6	1.0	1.0	3.0	3.6	2.1	1.5	2.50	2.75	2.25	1.50
Austria	1.0	0.8	1.2	1.5	3.6	3.1	2.2	2.0	2.50	2.75	2.25	1.50
Greece	2.2	1.8	1.7	1.7	2.9	3.6	2.3	2.1	2.50	2.75	2.25	1.50
Portugal	1.9	2.1	1.6	1.8	2.2	3.0	2.0	1.8	2.50	2.75	2.25	1.50
Ireland	8.1	-6.1	4.7	2.6	2.1	3.2	1.8	1.7	2.50	2.75	2.25	1.50
Finland	0.8	1.2	1.0	1.3	1.8	2.5	1.7	1.7	2.50	2.75	2.25	1.50
Other developed economies												
New Zealand	0.2	1.5	2.1	2.5	2.8	3.6	2.4	2.0	2.75	3.00	3.00	3.00
Switzerland	1.4	1.0	1.4	1.6	0.2	0.5	0.7	0.7	0.0	0.00	0.00	0.00
Norway	1.7	0.8	0.9	1.3	3.0	3.3	2.4	2.1	4.50	4.50	4.00	3.75
Sweden	1.6	2.6	2.2	1.9	2.6	-0.4			1.75	2.00	2.25	2.00
Emerging Asia												
China	5.0	4.5	4.2	4.0	0.0	0.8	0.5	0.0	1.40	1.40	1.40	1.40
India	7.3	7.7	7.5	7.7	2.1	4.4	4.9	4.6	5.50	5.75	6.25	6.25
Indonesia	5.1	5.3	5.5	5.7	1.9	3.3	3.0	2.8	5.75	5.75	5.75	4.75
Korea	1.0	3.6	2.5	2.1	2.1	2.6	2.2	2.0	3.00	3.25	3.50	3.50
Taiwan	8.8	12.0	7.0	5.0	1.7	2.0	1.7	1.8	2.00	2.25	2.38	2.38
Thailand	2.4	2.5	2.7	2.4	-0.1	1.8	0.5	0.8	1.00	1.00	1.00	1.25
Malaysia	5.2	5.2	4.5	4.6	1.4	1.8	2.0	2.2	2.75	2.75	2.75	2.75
Philippines	4.4	2.5	3.5	4.5	1.7	6.0	5.2	3.5	5.50	5.75	5.50	4.50
Singapore	5.0	5.1	2.7	2.7	0.9	2.0	2.2	1.7				
Hong Kong	3.5	4.0	3.5	2.6	1.4	2.0	2.2	2.0	4.25	4.75	4.75	4.75
Vietnam	8.0	8.2	8.4	8.4	3.3	4.8	4.5	4.0	4.50	4.50	4.50	4.50

Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 29: Global Economic Forecasts (continued)
Global GDP growth expected at 3.3% in 2026, 3.4% in 2027 and 3.3% in 2028

	GDP growth, %				CPI inflation*, %				Short term interest rates**, %			
	2025	2026F	2027F	2028F	2025	2026F	2027F	2028F	Current	2026F	2027F	2028F
Latin America												
Brazil	2.3	1.8	0.9	1.7	4.3	5.5	4.7	3.5	13.75	13.25	11.25	11.25
Mexico	0.7	1.4	1.6	1.3	3.7	3.5	3.7	4.2	6.50	6.50	6.50	6.50
Argentina	4.5	1.4	3.1	3.5	31.5	30.3	18.9	12.0				
Colombia	2.6	2.5	2.6	3.0	5.1	7.2	4.9	3.7	12.25	13.00	12.00	9.00
Chile	2.5	0.4	3.0	3.0	3.4	4.6	3.2	3.0	4.50	4.50	5.00	5.00
Peru	3.4	3.5	4.0	4.5	1.5	4.7	3.2	2.0	4.25	4.50	4.75	4.25
Ecuador	3.7	2.0	1.9	3.0	1.9	2.4	2.3	2.0		0.00	0.00	0.00
Uruguay	1.8	1.2	2.0	2.5	3.7	4.5	4.5	4.6	6.00	6.00	7.00	7.00
Costa Rica	4.6	3.7	4.0	3.8	-1.2	1.0	3.0	3.0	3.00	2.75	2.75	2.75
Dominican Republic	2.1	4.0	3.9	3.5	5.0	5.0	4.8	4.0	5.50	5.75	5.75	5.00
Panama	4.4	4.7	5.0	4.5	0.4	2.8	2.3	2.0				
El Salvador	3.9	4.0	3.2	3.2	0.9	3.1	2.0	1.7				
Guatemala	4.3	3.9	3.7	3.8	1.7	2.9	2.7	2.8	3.50	3.50	3.50	3.50
EEMEA												
Türkiye	3.7	2.6	4.1	3.3	34.9	30.9	26.2	30.0	36.00	35.00	31.00	34.00
Nigeria	4.0	4.1	4.3	4.0	23.0	16.0	13.0	10.0	23.00	23.00	20.00	15.00
Egypt	4.4	4.4	4.5	4.5	20.4	13.2	10.0	10.0	19.50	19.00	16.00	16.00
Poland	3.7	3.2	2.7	2.5	3.6	3.0	2.8	2.5	3.75	4.00	3.75	3.25
South Africa	1.1	1.2	1.4	1.6	3.2	4.4	4.8	4.3	7.25	7.50	7.00	6.50
Romania	0.6	0.0	2.5	2.5	7.3	8.5	4.4	3.5	6.50	6.50	5.75	5.25
Czech Republic	2.6	2.0	2.4	2.2	2.5	2.1	2.9	2.5	3.75	4.00	4.25	3.75
Israel	3.5	4.5	4.8	4.0	3.0	1.8	2.1	2.0	3.25	3.25	3.25	3.25
Hungary	0.4	1.9	2.8	2.5	4.4	1.7	2.7	2.5	5.50	5.25	4.50	4.00
Saudi Arabia	4.6	-2.0	5.9	4.5	2.0	2.4	2.0	2.0	4.50	5.00	5.00	5.00

Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 30: Real GDP growth, qoq annualized %
Global GDP growth expected at 3.3% in 2026, 3.4% in 2027 and 3.3% in 2028

	2Q 26	3Q 26	4Q 26	1Q 27	2Q 27	3Q 27	4Q 27	2025	2026	2027	2028
Developed Markets											
US	2.2	3.5	2.3	2.2	2.2	2.1	2.0	2.3	2.4	2.3	1.9
Euro area	2.6	0.8	0.7	0.8	1.0	1.2	1.2	1.3	1.0	1.0	1.1
Japan	1.4	0.1	0.3	1.1	1.2	0.7	0.6	1.2	0.8	0.8	0.7
UK	1.7	1.4	0.6	0.8	1.0	1.2	1.2	1.3	1.3	1.0	1.4
Canada	3.3	2.1	1.3	1.6	1.4	1.2	1.3	1.9	1.0	1.6	2.0
Australia	1.7	1.2	2.0	1.6	1.6	1.6	1.6	2.0	2.0	1.6	2.0
G6 Aggregate	2.2	2.0	1.4	1.5	1.6	1.5	1.5	1.8	1.6	1.6	1.5
Emerging Markets											
China	3.6	3.9	4.4	4.6	4.0	3.8	4.1	5.0	4.5	4.2	4.0
India	6.8	7.2	6.6	9.5	8.3	5.9	4.8	7.3	7.7	7.5	7.7
Indonesia	4.4	4.1	6.6	6.6	4.9	4.5	6.1	5.1	5.3	5.5	5.7
South Korea	2.5	2.8	2.6	2.4	2.3	2.4	2.4	1.0	3.6	2.5	2.1
Thailand	-0.7	2.9	5.4	2.5	0.7	2.3	5.5	2.4	2.5	2.7	2.4
Singapore	2.0	-1.6	-1.6	5.7	3.2	3.2	3.2	5.0	5.1	2.7	2.7
Hong Kong	-2.5	-3.6	6.1	12.5	2.3	-2.2	-2.3	3.5	4.0	3.5	2.6
Brazil	1.9	0.6	1.3	0.9	1.7	1.2	2.3	2.3	1.8	0.9	1.7
Mexico	5.8	0.6	0.1	1.9	2.1	1.3	1.2	0.7	1.4	1.6	1.3
Colombia	5.2	1.6	0.0	3.2	3.6	2.8	2.8	2.6	2.5	2.6	3.0
Chile	4.2	3.6	3.6	2.4	2.4	2.4	2.4	2.5	0.4	3.0	3.0
Peru	-0.4	10.4	4.9	0.0	5.3	4.5	4.5	3.4	3.5	4.0	4.5
Türkiye	4.6	6.7	6.4	3.2	3.4	3.6	2.9	3.7	2.6	4.1	3.3
South Africa	1.2	1.2	1.4	1.9	1.7	2.0	1.8	1.1	1.2	1.4	1.6

Source: BofA Global Research

BofA GLOBAL RESEARCH

Monetary policy forecasts

Exhibit 31: Monetary policy forecasts
End of period

Central Banks	Current	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Jul-27	Aug-27	Sep-27
Developed Markets													
Fed (upper bound)	4.00	4.25	4.25	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
ECB (deposit rate)	2.50	2.50	2.50	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.50
BoJ	1.25	1.25	1.25	1.50	1.50	1.50	1.75	1.75	1.75	1.75	2.00	2.00	2.00
BoE	3.75	3.75	4.00	4.00	4.00	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25
BoC	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25
Riksbank	1.75	1.75	2.00	2.00	2.00	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25
SNB	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Norges Bank	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.25
RBA	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.60	4.35	4.35
RBNZ	2.75	2.75	2.75	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
Emerging Asia													
China 7d reverse repo*	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
India	5.50	5.50	5.50	5.75	5.75	6.00	6.00	6.00	6.00	6.25	6.25	6.25	6.25
Indonesia	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75	5.75
South Korea	3.00	3.00	3.25	3.25	3.25	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
Taiwan	2.00	2.000	2.000	2.13	2.13	2.13	2.250	2.250	2.250	2.250	2.250	2.250	2.250
Thailand	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
Philippines	5.50	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00
Latin America													
Brazil	13.75	13.75	13.50	13.25	13.00	13.00	12.75	12.50	12.50	12.25	12.25	12.00	11.75
Chile	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.75	4.75	5.00	5.00	5.00	5.00
Colombia	12.25	12.50	12.50	13.00	13.00	13.00	12.75	12.75	12.75	12.50	12.50	12.50	12.25
Mexico	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50
Peru	4.25	4.25	4.25	4.50	4.75	4.75	4.75	4.75	4.75	4.75	4.75	4.75	4.75
Emerging EMEA													
Czech Republic	3.75	3.75	4.00	4.00	4.00	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25
Hungary	5.50	5.50	5.50	5.25	5.25	5.25	5.00	5.00	5.00	4.75	4.75	4.75	4.50
Israel	3.25	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
Poland	3.75	3.75	4.00	4.00	4.00	4.00	4.00	4.00	4.00	3.75	3.50	3.50	3.50
Romania	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.25	6.00	6.00
South Africa	7.25	7.25	7.50	7.50	7.50	7.50	7.50	7.50	7.50	7.50	7.25	7.25	7.25
Türkiye	36.00	36.00	36.00	35.00	34.00	34.00	34.00	33.00	33.00	32.00	31.00	31.00	31.00

Source: BofA Global Research

BofA GLOBAL RESEARCH

FX, rates and commodity forecasts

Exhibit 32: Quarterly forecasts
End of period

	Spot	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Dec-28
FX forecasts							
G6							
EUR-USD	1.12	1.15	1.17	1.19	1.20	1.20	1.22
USD-JPY	157	152	149	148	146	145	145
EUR-JPY	176	175	174	176	175	174	177
GBP-USD	1.34	1.37	1.39	1.42	1.45	1.45	1.47
USD-CAD	1.40	1.40	1.40	1.40	1.38	1.38	1.36
AUD-USD	0.70	0.70	0.70	0.70	0.69	0.68	0.68
Asia							
USD-CNY	6.67	6.60	6.60	6.50	6.50	6.50	6.50
USD-INR	94.9	98.0	98.5	99.0	99.0	99.0	99.0
USD-IDR	18078	18000	18100	18200	18200	18200	18200
USD-KRW	1325	1410	1400	1400	1380	1380	1380
Latin America							
USD-BRL	5.05	4.95	4.90	4.85	4.80	4.75	4.75
USD-MXN	18.73	18.50	18.60	18.70	18.80	19.00	20.00
Emerging Europe							
EUR-PLN	4.38	4.37	4.32	4.28	4.23	4.20	4.10
USD-TRY	49.74	51.70	54.50	57.40	60.00	62.60	75.20
USD-ZAR	16.51	16.40	16.30	16.00	15.80	15.60	15.30
Rates forecasts							
2yr							
US 2-year	4.65	5.00	4.95	4.90	4.85	4.75	4.50
Germany 2-year	3.04	3.20	3.00	2.80	2.55	2.30	1.85
Japan 2-year	1.86	1.95	2.20	2.20	2.35	2.30	2.20
UK 2-year	4.89	4.80	4.95	5.00	4.75	4.50	3.75
Canada 2-year	3.23	3.55	3.65	3.70	3.75	3.80	3.80
10yr							
US 10-year	4.96	5.00	4.95	4.90	4.85	4.75	4.75
Germany 10-year	3.33	3.40	3.25	3.10	2.90	2.80	2.50
Japan 10-year	2.77	3.00	3.10	3.10	3.15	3.05	2.95
UK 10-year	5.33	5.20	5.25	5.25	5.25	5.25	5.25
Canada 10-year	3.79	4.00	4.05	4.05	4.10	4.10	4.20
Commodities forecasts							
WTI Crude Oil - $/bbl	100.0	96.0	84.0	75.0	70.0	67.0	NA
Brent Crude Oil - $/bbl	113.6	100.0	89.0	81.0	77.0	74.0	NA
Gold $/oz	4043	4000	4750	5000	5000	4500	4000

Note: Spot exchange rate as of day of publishing. The left of the currency pair is the denominator of the exchange rate. Currency forecasts are for end of period.
Source: BofA Global Research, Bloomberg.

BofA GLOBAL RESEARCH